

V7 Reducing Fear of Failure

Absorbs OP10 (Safe Culture for Risk-Taking) and OP13 (Celebrating Risk-Takers). This is now the single worksheet for addressing fear-driven avoidance of risk, experimentation, and innovation.

Pillar	Vulnerability	Difficulty	Level 2
Time Required	50-60 minutes	Group Size	5-12 (optimal: 6-8)
Mode	Team facilitation	Format	In-person or remote
Prerequisites	V1 or V2 completed (trust foundation needed)	CLOVER ERA Trigger	Low risk-taking, innovation stagnation, fear of failure signals, blame culture indicators, employees not proposing new ideas

Why This Works

THE NEUROSCIENCE

Fear of failure is a cortisol-driven survival mechanism. The brain treats social risk (being judged, losing status, facing consequences for a failed idea) with the same threat circuitry it uses for physical danger. The amygdala fires, cortisol floods the prefrontal cortex, and the brain's default becomes avoidance.

To shift this, the brain needs two things. First, evidence that failure is survivable in this specific social context (not in theory, but in practice). Second, dopamine-driven reward signals associated with risk-taking itself, not just successful outcomes. When the act of trying something new is recognised and celebrated regardless of outcome, the brain starts associating experimentation with reward rather than threat.

This worksheet addresses both: it creates the evidence of safety through structured sharing, and it designs the reward signals through team-built recognition of risk-taking behaviour.

IF A TEAM MEMBER ASKS "WHY ARE WE DOING THIS?"

"Innovation requires people to try things that might not work. Right now, the cost of trying and failing feels higher than the cost of playing it safe. That's backwards. This exercise is about making it rational to take smart risks by changing how we respond when things don't go as planned."

Before You Begin

PSYCHOLOGICAL SAFETY CHECK

Do NOT run this exercise if:

- A recent failure was met with visible consequences (someone was reassigned, publicly criticised, or penalised for a failed initiative)
- The organisation is in a cost-cutting phase where experimentation budgets have been cut
- The manager does not have genuine authority to protect risk-takers from organisational backlash

If any of these apply, the exercise will feel hollow. Address the systemic conditions first.

The Exercise

Phase 1: The Fear Inventory (10 minutes)

WHAT TO SAY

"I want to understand what holds us back from trying new things. Not in theory. Specifically. Think about the last time you had an idea you didn't pursue, or a risk you didn't take. What stopped you? Write it down. Be specific."

Give 5 minutes for individual writing. Then collect responses anonymously (written on cards and shuffled, or Mentimeter/Miro for remote). Read them aloud. Group into themes.

Common themes: fear of looking incompetent, fear of wasting resources, fear of career impact, uncertainty about permission, previous negative experience, no clarity on acceptable failure boundaries.

Phase 2: The Cost of Not Trying (10 minutes)

WHAT TO SAY

"We've identified what stops us. Now let's look at the other side. What has it cost us, as a team, to NOT take those risks? What ideas died? What problems persisted because nobody felt safe trying a different approach? What did our customers or stakeholders miss out on?"

This question reframes the equation. Most teams overweight the cost of failure and underweight the cost of inaction. Making inaction costs visible creates the motivation to change.

Phase 3: Defining Safe-to-Fail (15 minutes)

This is the core of the exercise. The team defines what 'safe to fail' means in their specific context.

WHAT TO SAY

"Not every experiment can fail without consequences. But a lot of experiments could fail safely if we agreed upfront on the boundaries. I want us to define three things:"

"1. What kinds of experiments or risks can we try with no permission needed, as long as we stay

within these boundaries?"

"2. What kinds of risks need a conversation with me before proceeding?"

"3. What does a good failure response look like from me and from the team when something doesn't work?"

Write the team's answers on the flipchart. The output should be a clear, written agreement that the team can reference. Specific examples are essential: "You can test a new process with one client without asking. You should check with me before committing resources over X hours."

Phase 4: Designing Recognition (10 minutes)

Absorbed from OP13 (Celebrating Risk-Takers). The team designs how they will recognise risk-taking, not just successful risk-taking.

WHAT TO SAY

"If we only celebrate successful experiments, we're still punishing failure. How do we recognise the act of trying? What does it look like when someone takes a smart risk and it doesn't work, and we respond in a way that makes them want to try again?"

The team designs their own recognition approach. This might be as simple as a standing agenda item in team meetings: "What did we try this week?" Or a shared channel where experiments (successful or not) get documented. The key is that the team owns the design.

Phase 5: Close (5 minutes)

WHAT TO SAY

"We now have three things: we know what holds us back, we've defined what safe-to-fail looks like for us, and we've agreed how to recognise risk-taking. My commitment: I will respond to failed experiments the way we agreed today. Your commitment: try something. One experiment in the next two weeks. It can be small. It just has to be real."

Facilitation Notes

Situation	Response
Someone raises a fear that the manager cannot actually address ("I'm afraid of what the VP will think")	Be honest: "That's a real constraint and I'm not going to pretend I can eliminate it. What I can do is [specific commitment]. For risks within our team's scope, I can guarantee [specific protection]." Overpromising destroys credibility.
The team wants to define everything as requiring permission	Push back gently: "If everything needs permission, we haven't really reduced the barrier. Let's find at least two categories of experiment that are genuinely permission-free within our scope." Start small.
Someone has been burned by a previous failure and is cynical about the exercise	Acknowledge the experience directly: "Your scepticism makes sense given what happened. I'm not asking you to forget that. I'm asking whether we can build something different going forward. If we can't, I

	need to understand why."
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Signs This Is Working

Timeframe	What to Look For
During the session	The fear inventory produces specific, honest responses (not generic concerns) The safe-to-fail boundaries feel real and usable (not corporate language) Someone proposes an experiment during the session
Within 2-4 weeks	A team member tries something new and reports back, regardless of outcome Language shifts from 'I need permission' to 'I'm going to try' The manager responds to a failed experiment using the agreed framework
CLOVER ERA data (4-6 weeks)	Vulnerability scores increase Opportunity pillar scores also lift (risk-taking and opportunity are linked) Qualitative data references experimentation, trying, or safety to take risks
Red flags	If nobody tries anything, the safe-to-fail boundaries may still feel too risky, or the manager's real-world responses contradicted the agreed framework. Revisit honestly.

Cross-Pillar Connections

Worksheet	Connection	Direction
V2: Failure Stories	V2 normalises talking about failure. V7 creates the conditions to prevent unnecessary failure and respond well when it happens.	Run V2 before V7 (2-4 weeks)
V5: Vulnerability Norms	The safe-to-fail agreements from V7 should be incorporated into the team's vulnerability norms.	Complementary
OP9: Recognition Programs	V7 addresses recognition of risk-taking. OP9 addresses broader recognition. They should align.	Complementary
E6: Decision-Making Autonomy	Autonomy to experiment requires the safety framework that V7 establishes.	Run V7 before E6